

Close out the trade. Price should move in the direction of the prevailing price trend ([Table 48.2](#) says about 75% of the time except for one column), usually following a slope similar to that before the pennant. When price falters (pauses) after several days (7 calendar days is the median) of quick price movement, sell (or be prepared to sell).

[Table 48.11](#) shows how pennant tilt affects performance.

I checked performance of the pennant depending on the pattern's tilt. For example, [Figure 48.3](#) has a downward tilt and [Figure 48.6](#) is upward. I didn't count those with horizontal tilts like that shown in [Figure 48.4](#).

The numbers show that downward tilts outperform those with upward tilts after upward breakouts. The reverse is true for downward breakouts: Upward tilts work best in that situation.

[Table 48.12](#) shows special features of pennants. That's not really true. It's more special measurements I made associated with pennants.

I measured the price and time moves before and after the pennant but for only two configurations: rising price trend, upward breakout, downward pennant tilt (top portion of the table) and falling price trend, downward breakout, and upward tilt (bottom portion).

Let's talk about the top half of the table, and you can apply the same logic to the lower portion of the table.

Time move. The flagpole lasted 11 days, on average, but the move after the pennant was 9 or 10 days. So the pennant will appear slightly (55%) beyond midway in the time trend.

Price move. The average price rise in the flagpole in bull markets was 19%. That compared to an after-pennant move of 14%. On a percentage basis, the pennant is past the midway point (58% along, where 50% means midway).

Multipliers. This item uses the results of the prior rows to figure out how much to multiply the flagpole to get a better estimate of how long and how far the stock might move.